“What’s the Point?”

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What's the Point? - When companies see big threats to supply chains and economic security, they shift their investment strategies to focus on protecting key industries instead of just chasing the highest profits.

Source: "JPMorgan to Invest $10 Billion in U.S. Companies Critical to National Security"
By: Alexander Saeedy; Date: WSJ October 13, 2025

Analysis:

Plan of Action: JPMorgan Chase, which is the largest bank in the U.S., announced a new, massive investment initiative called the "Security and Resiliency Initiative." It will invest $10 billion of its own capital to directly purchase stakes in U.S. companies that support national security initiatives. This will add to a much larger initiative of $1.5 trillion over 10 years to help finance companies in four strategic sectors: defense and aerospace, energy independence (such as battery storage), advanced manufacturing (including critical minerals), and emerging technologies (such as artificial intelligence and cybersecurity). The bank will employ more bankers to facilitate these investments, and it will create an advisory council to help run and implement these investments.

Situation: CEO Jamie Dimon stated that the U.S. has become too reliant on other countries for important materials/products to support national security. After the trade war with China escalated, China prohibited exports of rare earth minerals necessary for making electronics, cars, and defense. The U.S. became aware of national security vulnerabilities from reliance on these materials being produced in largely unreliable countries. JPMorgan had been assisting some defense companies, such as helping to arrange for $400 million in Department of Defense funding for MP Materials, a rare earth company, but it required a broader strategy to address these vulnerabilities in the supply chain.

Objective & Outcome: JPMorgan is invested directly in companies to endure America’s self-sufficiency and diminish reliance on foreign suppliers. The organization foresees the dual benefit of commercial returns from these investments while also acting in the interests of national security. Investments will be made in 27 US-based industries identified in the four areas, from autonomous weapons systems to nuclear energy to pharmaceutical production. JPMorgan has connections with 34,000 mid-sized companies as well as over 90% of Fortune 500 companies, so they have ample relationship leverage to make this happen. Their share price went up over 2% when this was announced, indicating the conclusion by investors that this is a smart commercial move.

Generality: Other major financial companies have also aligned themselves with states to answer the need for protection of supply chains and investment in national security. BlackRock has encouraged firms to invest in building supply chain resilience following the pandemic and the realization of how fragile global trade and supranational institutions have become. Goldman

Sachs has increased lending to American manufacturing firms that are trying to bring manufacturing back to the United States. In the technology arena, companies like Intel are creating chip manufacturing facilities in the United States and receiving assistance from the federal government due to fears of becoming dependent on Taiwan for chip manufacturing. The auto sector, represented by firms like Ford and General Motors, are also attempting to secure their supply chains for battery materials on the world market and not depend on Chinese sources. Similarly, defense contractors such as Lockheed Martin and Raytheon, among others, are attempting to seek suppliers in the United States for critical components that they previously procured from foreign suppliers, including China.